MAHATMA GANDHI UNIVERSITY, KOTTAYAM

THIRD SEMESTER MGU-UGP (HONOURS) REGULAR EXAMINATION ……2025

MG3DSEECO201 - FINANCIAL ECONOMICS

2024 **ADMISSION ONWARDS)**

Duration: 2 Hours **Maximum Marks: 70**

Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Interest (I), Appreciation (Ap), and Skill (S)

Students should attempt atleast one question from each course outcome to enhance their overall outcome attainability.

[Learning Domain][CO No(s)]

Part A
Multiple Choice Questions
Answer all questions
Each question carries 1 mark

1. Which of the following is a money market instrument? [U][1]

a) Debentures

b) Treasury bills

c)Equity shares

d)Bonds

2. What does BSE stands for? [U][1]

a) Bombay Stock Exchange

b)Bank Stock Exchange

c)Basic Stock Exchange

d)Bharat Stock Exchange

3. IRR is the rate at which [E][2]

a) cash inflow=cash out flow

b) NPV=0

c) Profit=0

d) Return =Interest

4. What does SIP stands for [U][5]

a)Systematic Income Plan

b)Secure Investment Policy

c)Systematic Investment Plan

d)Stock Investment Plan

5. Which of the following is not a type of derivatives? [U][1]

a)Futures

b)Options

c)Bonds

d)Swaps

6. NPV stands for [U][4]

a) Net Present Value

b) Net Property Value

c) National Present Value

d) None of these

7. NPV is used to evaluate [U][4]

a)Future market share

b)Advertising strategies

c)Investment projects

d)Sales Targets

8. New Issue Market is regulated by [U][1]

a)RBI

b)IRDA

c)SEBI

d)Ministry of finance

9. An IPO stands for [U][1]

a)Initial Price Order

b)International Profit Offering

c)Initial Public Offering

d)Institutional Public Order

10. What is the primary objective of the Markowitz model in portfolio analysis? [U][3]

a) To maximise returns regardless of risk

b) To minimise returns regardless of risk

c) To achieve an optimal balance between risk and return

a) d) To eliminate risk in portfolio management **(10x1=10 Marks)**

Part B

Short Answer Questions (50 words)
Answer any 10 questions
Each question carries 3 marks

11. Briefly explain stock exchange. [U][1]

12. Write a note on Net Present Value. [U][1]

13. What is Principal Agent Problem? [U][1]

14. Explain Portfolio Assets. [U][2]

15. Discuss Time value of money. [U][4]

16. Evaluate Internal Rate of Return. [E][2]

17. Explain Goal setting in personal finance. [U][3]

18. What is financial discipline? [K][5]

19. What is Black Scholes Model? [U][1]

20. Differentiate between Forwards and Futures. [An][1]

21. Discuss Valuation of Annuities. [U][4]

22. Explain SIP. [U][5]

23. Write a note on New Issue Market. [U][1]

24. Evaluate One Fund Theorem. [E][2]

25. What is random Asset Return? [U][1]

(10x3= 30 Marks)

Part C

Short Essay Type Questions (160 words)
Answer any 5 questions
Each question carries 6 marks

26. Analyse Money market and its Instruments. [An][1]

27. Explain Derivatives and its Types. [U][1]

28. Discuss Modigliani-Miller Theorem. [C][4]

29. Describe Markovitz Model and Two Fund Theorem. [E][2]

30. Briefly explain various retirement plans [U][5]

31. Analyse the tradeoff between risk and return in different types of assets. [An][1]

32. Discuss the usefulness of Capital Asset Pricing Model(CAPM) in investment Analysis. [A][3]

33. Explain pattern of Corporate financing. [C][4]

34.Discuss Exchange Traded Funds. [U][1]

35.What are the investment criteria in Investment theories? [E][2]

(5x6= 30 Marks)